framework based on Bachelier’s work. In 1965, Samuelson published a seminal paper using Bachelier’s ideas about efficient markets and Samuelson’s own proof to support it.

Samuelson went on to write the bestselling economics textbook of all time in which he strongly endorsed EMH. Samuelson was the first American to receive the Nobel Prize in Economic Sciences. This was in 1970, the second year of the award.

Although I had looked into EMH, I had also read most of the practical books I could find on investing, such as those by Graham and Dodd (1951), Darvas (1960), Thorp and Kassouf (1967), and Levy (1968). (I will describe the work of Darvas and Levy, who used relative strength momentum-based investing, in more detail in the next chapter.)

I was also familiar with some well-respected mutual fund managers, such as John Neff, William Ruane, Walter Schloss, and Max Heine, and I had an exceptional hedge fund manager as a client. All had consistently outperformed Mr. Market. I could not believe that outperformance by such astute investors was due only to chance or luck. The outcomes of these investors seemed clearly at odds with what academics were saying. While academics were extolling the virtues of EMH, practitioners like these were doing something completely different, and they were succeeding.

Andrew Lo, one of the first economists to look thoroughly at market pricing anomalies, tells how years ago he did some rigorous research on technical analysis. He identified predictable patterns in stock prices, which, to academics back then, was akin to voodoo. Lo presented his encouraging results to an MIT colleague who responded, “Your data must be wrong.”[4]

According to the “joint hypothesis,” one can only say if a market is or is not efficient with reference to a model of equilibrium returns. If such a model can predict the market, then either the model is wrong or markets are not efficient. Lo must have done some very good research for his colleague to think up a third alternative, that of erroneous data. In the words of Nietzsche, “convictions are more dangerous enemies of truth than lies.” EMH had become a belief system with many firm adherents, not unlike religion. George Soros (2003), the world’s most successful hedge fund manager, who has earned $39.6 billion in net gains, called EMH “market fundamentalism.” Hallelujah! Throughout the 1970s and 1980s EMH ruled supreme.